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STAFF MEMO

Date: January 2, 2025 (updated January 9, 2025)

To: Board of Education

From: Dan Jung, Chief Operating Officer

Subject: General Obligation Bond Election Planning

Staff provides the following general obligation bond (GO bond) option for review and consideration. The proposed GO bond is expected to maintain a tax rate of $2.50, which is the same rate that was estimated in 2017 and 2020.

2025 Bond Option	
Physical Facility Improvements	**$269,000,000**
Deferred Maint & Priority Scope	$190,000,000
Athletics	$79,000,000
Educational & Technology Improvements	**$242,000,000**
Technology	$176,000,000
Physical Education	$10,000,000
Curriculum	$56,000,000
Modernizations	**$1,150,000,000**
Jefferson High School	INCL ABOVE
Cleveland High School	INCL ABOVE
Ida B Wells High School	INCL ABOVE
Elementary and Middle Schools	INCL ABOVE
Admin	**$83,050,000**
Contingency	**$83,050,000**
Total	**$1,827,100,000**

Scope of Work

Physical Facility Improvements - $269M

Deferred Maintenance and Priority Scope Improvements - $190M

The proposed option allocates funds to address deferred maintenance, ongoing capital renewal and priority scope improvements.

Athletic Improvements - $79M
Included in the Physical Facility Improvements budget is $79M for athletics. The proposed option includes $79M to complete specific improvements including:

- West Sylvan Middle School (turf and lights) to support Lincoln High School athletics
- Roosevelt High School (turf for baseball, softball and hitting facility)
- Grant High School (lights at track and new seating)
- Franklin High School (turf and lights for baseball, softball and hitting facility)
- Jackson Middle School to support district wide athletics
- Marshall campus to support district wide athletic

Educational & Technology Improvements - $288M
Technology Improvements - $176M
This budget has been created from an eight-year bond timeline and includes 2 four-year cycles.

Project	**Years 1-4 Amount**	**Years 5-8 Amount**	**Total**
Business Modernization/ERP	$38 million	$0	$38 million
Staff & Student Device Refresh	$35 million	$35 million	$70 million
Data Center/Classroom Tech/Infrastructure	$25.5 million	$25 million	$50.5 million
Cybersecurity	$3.5 million	$4 million	$7.5 million
HVAC and Energy Sustainability	$10 million	$0	$10 million
Total	**$112 million**	**$64 million**	**$176 million**

- The Business Modernization/ERP system serves as the fundamental backbone supporting the HR and all financial systems within the district. During Bond 2020, the ERP was designated for planning stages; however, the 2020 bond funds were not designated to cover the complete implementation costs. This request encompasses the necessary funding for the acquisition, implementation, and staffing of the system project, as well as the transition of the district from the previous ERP (PeopleSoft) system.
- Staff and student device refresh: Presently, General Funds are inadequate to address district-wide device replacement for students and staff since their initial deployment in 2020-2021. It is imperative that staff and students have access to reliable and secure technology for classroom usage and homework assignments. While we strive to extend the lifecycle of devices to 5 years, this is becoming increasingly more difficult to accomplish due the rate of change of technology and the additional usage placed on devices by staff and students.
- K-12 cyber attacks persist as a significant concern for school districts nationwide. The need remains to continuously update existing systems and adopt innovative practices to prevent cyber security attacks from disrupting our educational processes, data, and systems.
- The PPS Data Center, being the focal point of all technical operations across the district, is projected to reach its end of life in 2025. It necessitates the replacement of the chiller, UPS, and other essential infrastructure components to ensure the continuity of technical operations.
- Bond 2020 did not include provisions for the replacement of classroom technology or

infrastructure in any of the schools improved with funds from Bonds 2012 or 2017. The technology in Bond 2012 schools is now outdated and requires replacement to comply with the District's technology standards. While Bond 2017 schools have relatively newer technology compared to Bond 2012, the Wifi system will approach its end of life between 2025-2027, necessitating additional funds for its replacement. Additionally, large space areas (gymnasiums, theaters, etc.) were not within the scope of the 2020 Classroom Modernization project. This bond will provide specific projection and sound capabilities tailored to these larger spaces.

- HVAC and Energy Sustainability: Across the district, the majority of our network distribution closets lack adequate cooling to maintain efficient and sustainable operations. Most dedicated network rooms do not have any form of access control. This bond will enable us to implement both temperature control and the necessary access control measures to secure these critical and sensitive locations.

Physical Education - $10M

Per the Division 22 PE Requirements from the Oregon Department of Education, PPS must come into full compliance with the instructional minutes requirements for Physical Education by the fall of 2025. The executive Summary from August 2024 outlines significant progress made toward this end by adding "movement labs" in both middle schools and K-8 schools. In order to come into full compliance, we need to identify additional spaces to hold PE at the 6 remaining schools which include: Cesar Chavez, da Vinci, George, Ockley Green, Metropolitan Learning Center, and Winterhaven. These schools all have unique space needs requiring significant resources to both initiate and complete the projects.

Curriculum - $56M

The proposed project scope is $7M each year through 2030-31, totalling $56M. This Bond Curriculum Update[1], outlines revised curriculum schedule, further considerations and next steps. It's important to note, bond funds are not intended to be the sole source supporting curriculum adoptions moving forward, and this approach provides foundation support.

Modernizations - $1.150B

High school modernization projects Jefferson HS, Ida B Wells HS, and Cleveland HS include GO bond funding from the 2020 GO bond authorization. The planned scope of these projects include full renovation and/or new construction of the school facilities, including off site improvements for Cleveland High School athletics for softball, baseball and multi-purpose uses. The project teams have been tasked with creating updated, high-level designs that aim to reduce overall project budgets. The teams will work closely with stakeholders to develop revised scenarios and generate third-party professional construction cost estimates. Once the updated designs are finalized, they will be presented to the School Facility Improvement Oversight Committee. Following this, the teams will prepare updated Comprehensive Plans for each project, detailing the scope, schedule, and updated project costs.

By reimagining these projects with a focus on essential academic programming, PPS could save as much as $470 million. The funds saved from the high school modernization projects will be reinvested into infrastructure investments at elementary and middle schools.

Administration - $83M

Program administration includes the resources required to manage and support the bond work, covering staff, bond issuance costs, insurance, and other related expenses.

Contingency - $83M

Program contingency is a risk management tool used to buffer against unanticipated costs, such as:

- Higher than anticipated cost escalation

[1] "The Bond Curriculum Update" is included in the December 2, 2024 SFIOC Materials, referenced here: https://meetings.boardbook.org/Documents/WebViewer/915?file=b96168d5-4772-4ae2-9c16-eb0caa4093a3

- Building code or zoning code changes
- Emergency facility needs
- Or any other unforeseen cost, either discretionary or nondiscretionary

Resources

GO Bond Planning

- January 23, 2024 Board Work Session
  https://meetings.boardbook.org/Public/Agenda/915?meeting=618340
- February 28, 2024 Facilities & Operations Committee
  https://meetings.boardbook.org/Public/Agenda/915?meeting=624188
- March 20, 2024 Facilities & Operations Committee
  https://meetings.boardbook.org/Public/Agenda/915?meeting=628478
- April 17, 2024 Facilities & Operations Committee
  https://meetings.boardbook.org/Public/Agenda/915?meeting=632063
- May 17, 2024 Facilities & Operations Committee
  https://meetings.boardbook.org/Public/Agenda/915?meeting=638812
- June 26, 2024 Facilities & Operations Committee
  https://meetings.boardbook.org/Public/Agenda/915?meeting=642683
- Staff Memo: Bond Timing (June 6, 2024)
  https://meetings.boardbook.org/Documents/WebViewer/915?file=60fdf39c-3842-4a0e-89a4-0dfb832cddfb
- October 21, 2024 School Facilities Improvement Oversight Committee
  https://meetings.boardbook.org/Public/Agenda/915?meeting=659500
- November 6, 2024 School Facilities Improvement Oversight Committee
  https://meetings.boardbook.org/Public/Agenda/915?meeting=662219
- December 2, 2024 School Facilities Improvement Oversight Committee
  https://meetings.boardbook.org/Public/Agenda/915?meeting=665611
- December 3, 2024 Regular Board Meeting
  Board discussion; no new materials
- December 17, 2024 Regular Board Meeting
  https://meetings.boardbook.org/Public/Agenda/915?meeting=666567

Bond Accountability Committee

- December 18, 2024 Bond Accountability Committee Special Meeting
  https://drive.google.com/drive/folders/1IM_8zHlS4z3X-gL2hwN_ELyr21Cs3QrI